

ORGANIZATIONAL-ECONOMIC MECHANISM OF DEVELOPMENT PROSPECTS OF ENERGY SUPPLY OF THE LIBERATED TERRITORIES OF AZERBAIJAN

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SUMMARY

The article analyzes the implementation status of measures aimed at creating energy infrastructure, which is of great importance in ensuring the restoration, reconstruction and development of the infrastructure of the economy in the liberated territories of the country, within the framework of the Great Return I State Program in 2021-2024. Thus, the measurement of the potential of renewable energy sources in the territories of the Karabakh and East Zangezur economic regions, the preparation of proposals for ensuring energy efficiency during settlement, the implementation of pilot projects for the application of green technologies, and the implementation of work related to measures aimed at ensuring energy efficiency in various sectors of the economy were studied. Along with these, the documents prepared with the assistance of the EBRD for the implementation of the mentioned measures, the mechanism of operation of the Energy Efficiency Fund, and the tax and customs privileges granted to residents in these territories for 10 years were reviewed.

Keywords: state program, project, infrastructure, restoration, reconstruction and development, energy efficiency, occupation, territory, measure, investment.

INTRODUCTION

The measures implemented within the framework of the Great Return I State Program for the restoration and reconstruction of the infrastructure of all sectors of the economy of the liberated territories of the country are being implemented regularly and consistently in the energy sector as priorities for the efficient and dynamic integration of the economy of the Karabakh and East Zangezur economic regions into the country's economy. For this purpose, 2.2 billion manats were invested in 2021, 2.7 billion manats in 2022, 2.7 billion manats in 2023 million manats in 2024, and the implementation of the measures envisaged in the state program and

development strategy in the field of energy supply was ensured in accordance with the implementation period.

ANALYSIS

In order to implement the measure envisaged in the State Program for the purpose of "Measuring the potential of renewable energy sources" of the occupied territories, relevant work has been carried out to measure the potential of these liberated territories. Thus, in order to measure the potential of alternative and renewable energy sources in the liberated Jabrayil and Zangilan regions, Solar Monitoring Stations have been installed and observation works have been carried out. At the same time, since a small hydroelectric power station is planned in the Lachin region, these territories were inspected with the participation of specialists from a number of foreign countries operating in the green energy sector in this region, and as a result, measurement and observation works are currently being carried out here by "ECOENERGY CONSULTING" LLC. In addition, an analysis of the implementation of the measures envisaged in the state program shows that appropriate inspections have not been carried out on the territory where the measurement and observation station will be established for the purpose of constructing a wind power plant in the Kalbajar region, and currently, work is continuing in the field of installation of measurement and observation devices. As a result of the study of the mentioned report, it was determined that in order to effectively implement the event "Preparation of proposals for ensuring energy efficiency during settlement" envisaged in the program, the experiences of the US, European and Asian countries in ensuring energy efficiency during settlement were studied. That is, in world practice, smart settlement methods and techniques, models determining energy efficiency in settlement and specific projects in which they were applied were reviewed, relevant proposals were prepared, presented to the Working Group on "Energy Supply Issues"

at the event, and as a result, it was considered appropriate to implement relevant work.

At the same time, the study of the implementation of the measures envisaged in the mentioned state program shows that the report prepared by the "Agrarian Research Center" of the Ministry of Agriculture of the Republic of Azerbaijan as a result of the research conducted in the direction of expanding the possibilities of using bioenergy for the purpose of "Study and assessment of the prospects of using renewable energy sources (hydroenergy, geothermal energy and bioenergy), hydrogen technology, energy storage and hydroaccumulation measures" in the liberated territories has developed effective proposals. In addition to the above, the Global Geothermal Alliance, which operates under the management of the International Renewable Energy Agency (IRENA) in order to establish and expand relations with relevant international organizations for the effective use of geothermal energy resources in the liberated territories and to study world experience in this process, was accepted as a member in 2023. In order to implement effective priorities in this area, a "Roadmap for expanding the opportunities for direct use of geothermal energy in Azerbaijan" was prepared and an implementation mechanism was developed at the event "The Leading Role of Small Power Renewable Projects in Improving Energy Efficiency" organized by the Ministry of Energy in 2025.

In order to restore, reconstruct and improve the economic mechanism of energy supply of the economic infrastructure of the economic sectors of Azerbaijan, including the Karabakh and East Zangezur economic regions, in accordance with the Memorandum signed with the European Bank for Reconstruction and Development, it is planned to carry out work in accordance with the event held on August 21, 2024, in accordance with the project "Preparation of the Azerbaijan National Hydrogen Strategy and its Implementation Plan". At the same time, the "National Strategic Review of Azerbaijan on Hydrogen" presented at the event "Ensuring a Clean Hydrogen Economy and Developing New Supply Chains" organized by the Renewable Energy Agency with the support of the International Renewable Energy Agency and the Hydrogen Council, and it was considered appropriate to prepare the "Implementation Plan" of the aforementioned Strategic Review document with the support of the European Bank for Reconstruction and Development (EBRD). It should be noted that in order to ensure energy efficiency in the sectors of the country's economy, the Energy Efficiency Fund was established by the decree of the President of the country dated March 1, 2024, and the organization of the activities of this Fund and a mechanism supporting its management has been developed. Based on the

analysis of the report on the activities of the Fund, it can be noted that the regular implementation of relevant work towards increasing energy efficiency in the liberated territories is currently ongoing, and in addition, requirements for energy efficiency projects are being developed and regularly updated based on the information collected on the technical and economic indicators of economic entities operating in various sectors of the economy in these territories. In accordance with the "Construction of Solar and Wind Power Plants" measure, the Government of Azerbaijan has concluded investment agreements with relevant investors for the implementation of the "Ufuq" and "Shams" Solar Power Plants projects, and work is currently underway to implement the project. In order to determine the areas where pilot projects will be implemented in connection with the implementation of the "Implementation of Pilot Projects on the Application of Green Technologies" measure in the liberated territories, houses have been identified in the Agali village of the Zangilan region, and relevant analyses are being conducted here in order to apply various technologies. At the same time, the funds required for the implementation of the pilot projects have been submitted to the aforementioned Fund based on the proposal of the Karabakh Revival Fund. It should be noted in particular that in order to ensure the implementation of the measures "On measures related to the creation of a "green energy" zone in the liberated territories of the Republic of Azerbaijan", approved by the order of the President of the Republic of Azerbaijan dated May 3, 2021, the Cabinet of Ministers of the Republic of Azerbaijan has adopted the Resolution of June 21, 2022 By the decree, the "Action Plan for the creation of a "green energy" zone in the liberated territories of the Republic of Azerbaijan in 2022-2026" was approved and six areas of activity were identified in accordance with this Action Plan regarding the creation of a "green energy" zone in the liberated territories. In addition to the above, the implementation of the measure "Promotion of measures to ensure energy efficiency in various sectors of the economy" envisaged in the "I State Program on the Great Return to the Liberated Territories of Azerbaijan" was ensured. In accordance with the amendments made to the Tax Code and the Law of the Republic of Azerbaijan "On Customs Tariff" on the measure "Supporting the creation of production and service areas based on green technologies in the liberated territories of the Republic of Azerbaijan" envisaged in the Great Return I State Program, residents of the territory: are exempted from profit (income), property, land, and simplified tax for 10 years; machinery, technological equipment in relevant economic activities (including production of vehicles and equipment, electrical equipment) and commodity nomenclatures and installations,

as well as the import of raw materials and materials is exempt from VAT and customs duties for a period of 10 years. At the same time, in the "Directions of strategic investment projects for which an investment promotion document is intended", approved by the Decree of the President of the Republic of Azerbaijan dated February 1, 2024, energy production projects based on renewable energy sources; Waste management projects and Public-private partnership projects are supported.

CONCLUSION

Thus, the above-mentioned normative-legal documents have created an organizational-economic mechanism and a legal basis in accordance with the requirements of international standards for the implementation of diversified measures aimed at the restoration,

reconstruction and development of the entire infrastructure of the economy of the liberated territories in the Great Return I State Program in Azerbaijan, that is, the territories included in the Karabakh and East Zangezur economic regions, and the measures implemented based on these documents will ultimately be of great and special importance in ensuring the restoration, reconstruction and development of the liberated territories, as well as the effective integration of the economy of these economic regions into the country's economy in stages.

LITERATURE:

1. State Program on the Great Return to the Liberated Territories of Azerbaijan.